developing countries in the World Bank and the International Monetary Fund (IMF). India also conducts an active diplomacy with China at the bilateral as well as multilateral levels, most recently highlighted by the two so-called informal summits between Modi and his Chinese counterpart Xi Jinping in Wuhan in 2018 and Chennai in 2019 and by India joining the Shanghai Cooperation Organisation (SCO).

New Delhi seems to be pursuing a mixed policy of cooperation and confrontation towards China. Consequently, we may need to look beyond the balancing–bandwagoning dichotomy to explain India's response to China's rise, and hedging captures this complexity of cooperation and confrontation. During a period of power shift – when the international system is in transition from a unipolar to a bipolar (or multipolar) world structure, as is the case now, strategic uncertainty emerges, in particular for secondary powers. During such a transition period, hedging might still be the optimal strategy even if the balance of power in the international system is moving towards a bipolar structure.[48]

Hedging

Hedging has been applied already in a few analyses of India's China policy, but the definition of hedging varies between the different studies.[49] Defined as part of the balance-of-power theory family, the concept of hedging is located between balancing and bandwagoning as the state's third strategic choice.[50] States apply hedging as a strategy to "manage uncertainty" about other states' intentions and future behaviour through the pursuit of cooperative and competitive policies, and the emphasis in such a hedging strategy is on more or less cooperation or competition instead of either/or.[51] Both balancing and bandwagoning have risks and uncertain strategic consequences. For instance, while external balancing involves risks of